

BOARD NOMINATION AND GOVERNANCE COMMITTEE REPORT

Our continued dedication to fostering a culture of strong governance resulted us well as we have focused on enhancing our Board's diversity, ensuring a robust succession planning process, and implementing best practices in governance. These efforts are vital in driving sustainable growth and creating long-term value for our stakeholders

PURPOSE OF THE COMMITTEE

The Board Nomination and Governance Committee is required to establish and maintain a formal procedure for the appointment of new Directors and KRPs and re-election of Directors



Mr. Ashane Jayasekara
Chairman - Board Nomination and Governance Committee

COMPOSITION OF THE COMMITTEE

BOARD MEMBER	BOARD STATUS	DATE OF APPOINTMENT TO THE COMMITTEE
Mr. Ashane Jayasekara	Independent Non-Executive Director (Chairman)	1 February 2019
Mr. G A R D Prasanna	Non-Executive Director	16 March 2022
Ms. Ashwini Natesan	Independent Non-Executive Director	16 March 2022

COMMITTEE MEETINGS

The Committee met four (4) times during the year under review complying with the regulatory requirements. Details regarding the attendance of Committee members are stated on page 174. Executive Directors, AGM – Human Resources and Assistant Company Secretary attended the meetings by invitation. Company Secretaries functioned as the Secretary to the Committee. Proceedings of the Committee were reported to the Board. The recommendations made by the Committee during the year under review were duly approved by the Board.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The Committee was formed in line with the Best Practices on Corporate Governance and it conforms to Direction 10.4 of Finance Business Act Direction No.5 of 2021 and its composition is in line with Rule 9.11.4 of the Listing Rules. The name of the Committee was changed to Board Nomination and Governance Committee as per the Listing Rules of Colombo Stock Exchange.

FUNCTIONS

The functions of the Nomination Committee include:

- To regularly review the structure, size, composition, and competencies of the Board, the requirement of additional/new expertise, and the succession arrangements for retiring Directors and make recommendations to the Board regarding any structural changes in the Board.
- To consider the making of any appointments to the Board and other key responsible positions and provide advice and recommendations to the Board on such appointments.
- To ensure that Directors are fit and proper persons to hold office as per the criteria set out in the Directions issued by the Central Bank of Sri Lanka and the relevant Rules / Statutes.
- To evaluate and recommend the appointment, promotion, extension, transfer and re-designation of the Managing Director and Executive Directors and Key Responsible Persons.
- To evaluate and recommend (where appropriate) the re-election of Directors who are retiring by rotation to be placed before the shareholders, for re-election.

- To oversee and review the Board's succession plan together with the Succession plan for key responsible persons.
- To consider and examine such matters as it considers appropriate.
- To make recommendations on other related matters referred to the Committee by the Board of Directors.

ACTIVITIES DURING THE YEAR

During the four (4) meetings in the year under review the Committee deliberated on succession planning for Key Responsible Persons (KRPs) / leadership training/grooming of successors, reviewed the Management's recommendations for certain key positions, recommended seeking an extension of the period of office of the Managing Director in terms of the Finance Business Act Direction No.5 of 2021, re-election of the Director who is retiring and reviewed the formation of Board Sustainability Committee and its composition.

In recommending the Director retiring by rotation (Ms Ashwini Natesan) for re-election by the shareholders, the Committee took cognizance that Ms Natesan was last re-elected as a Director in 2021. Ms Natesan did not participate

in the deliberations of the Committee pertaining to her re-election. Information, as required by Rule 9.11.6(g) of the Listing Rules in respect of the said Director, proposed for re-election is set out in her profile on page 156 and in 'Corporate Governance' on page 164.

The Committee also deliberated on the size and composition of the Board Sub Committee requirements as per the Finance Business Act Direction No.5 of 2021 and the New Listing Rules on Corporate Governance.

Recommendations made by the Committee which were duly forwarded to the Board of Directors were approved, subject to the requisite Regulatory approvals, where applicable.

POLICIES AND PROCEDURES

The Committee operates within the terms of reference as approved by the Board and according to further timely revisions thereof. As per the said terms of reference, the Committee shall be constituted with Non-Executive Directors, majority of whom may preferably be Independent Non-Executive Directors. The Committee shall meet at least twice in a financial year and additional meetings may be called at any time at the Chairman's discretion or by a member in consultation with the Chairman. As required by the said terms of reference, the Committee reviewed its terms of reference in October, 2023 and further reviewed in March, 2024 and made recommendations for the change in the name of the Committee and its functions. Consequent thereto, the name of the Committee was changed to Nomination and Governance Committee according to the new Listing Rules of CSE.

A documented Board approved Procedure for Nomination of Directors is in place, based on which the Committee recommends suitable individuals to be selected for appointment to the Board subject to the relevant regulatory approvals.

The retirement and re-election of Directors as stated in the Articles of Association (Articles 85 and 86) require 1/3 of the Directors eligible for retirement by rotation, to retire from office at each Annual General Meeting, and the Committee after evaluation, recommends (where appropriate) the re-election of Directors who are retiring by rotation to be placed before the shareholders, for re-election.

The Committee acknowledges Board diversity, covering academic/professional qualifications, skills, experience, age, gender, integrity as key attributes for eligibility taking into consideration the nature of the business of the Company and the specific requirements of the non-bank financial sector, which is further elaborated in 'Corporate Governance' on page 164.



Ashane Jayasekara
Chairman
Board Nomination Committee

27 May 2024